

SACHET

■ By Banumathi

My father Chinni Krishnan used to say, 'Whatever I make must be affordable for the common man'. It was a dream that made him the father of the sachet revolution in India," says C.K. Ranganathan, 47, chairman and managing director of Cavinkare, a Rs 500-crore cosmetics company. Krishnan, a school teacher who wanted to make products affordable even to rickshawpullers, switched to the pharmaceutical packaging business and tried innovations in it. He put talcum powder and epsom salt in sachets but did not succeed. "But he did sow the seed of the sachet revolution," emphasises Ranganathan, who learnt his first business lessons from his father.

After splitting from his brothers' shampoo-manufacturing business, run under the brandname Velvette, Ranganathan bought a shampoo packaging machine and with an initial investment of Rs 15,000, launched Chik Shampoo, named after his father. He sold 20,000 sachets in the first month, making a modest profit. "The journey was bumpy and banks refused loans as I could not offer a collateral," he says. He started the Chik India Company in 1982 and did the

unthinkable by launching shampoos in rural, instead of urban areas. If MNC-bottled shampoos found shelf space in departmental stores, Cavinkare peddled its Re-1 wonder through roadside shops and grocery outlets in rural areas. Corporations soon realised the power of the sachet and launched their own products in small, affordable packages. As it turned out, Ranganathan had intuitively got the two Ps of packaging and pricing right. Velvette was being marketed by Godrej, but

Ranganathan trumped it by offering schemes that attracted villagers. He then renamed Chik India Cavinkare (Cavin means beauty in Tamil) in 1998.

After capturing the Tamil Nadu market, Ranganathan organised village tours and conducted live demonstrations in movie halls on the use of shampoos. Soon enough, villagers replaced body soap for hair

wash with the Re-1 sachet. Cavinkare then launched Shikakai powder, talcum powder, hair oil and fairness cream in sachets infusing beauty consciousness among rural masses, also showing a multi-crore possibility to other companies. Chik Shampoo is now available in 50 paise sachets in villages. The company is eyeing the urban market and exporting its products to Sri Lanka, Bangladesh, Nepal, Malaysia and the US. Would-be entrepreneurs in Tamil Nadu look upon Ranganathan as an inspiration. Not bad for one who started out executing his father's wish and ended up as a case study for IIM students. ■

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sachets of shampoo are sold annually, which is 70% of total sales

The Right PACKAGE

It started with shampoo but now sachets have overtaken shop shelves with everything from pan masala to garam masala and fairness creams available in small neat packs

